University of Sargodha

BS 8th Term Examination 2024

Subject: Computer Science **Paper: Financial Accounting (BUSB-402)**

Time Allowed: 02:30 Hours **(For Regular & Retake Students)** **Maximum Marks: 60**

Note: Objective part is compulsory. Attempt any three questions from subjective part.

Objective Part (Compulsory)

Q.1. Write short answers of the following in 2-3 lines each on your answer sheet. (2*12)

i. Financial Accounting
ii. General Journal
iii. Dividend
iv. Merchandise
v. Matching Principle
vi. Periodic Inventory System
vii. Asset
viii. Depreciation
ix. Marketable Securities
x. Book Value
xi. Goodwill
xii. Accrued Revenue

clamits

Subjective Part (3*12)

Q.2. Herrold Consulting incorporated on February 1, 2021. The company engaged in the following transactions during its first month of operations:

Feb. 1 Issued capital stock in exchange for $750,000 cash.
Feb. 5 Borrowed $50,000 from the bank by issuing a note payable.
Feb. 8 Purchased land, building, and office equipment for $600,000. The value of the land was $100,000, the value of the building was $450,000, and the value of the office equipment was $50,000. The company paid $300,000 cash and issued a note payable for the balance.
Feb. 11 Purchased office supplies for $600 on account. The supplies will last for several months.
Feb. 14 Paid the local newspaper $400 for a full-page advertisement. The ad will appear in print on February 18.
Feb. 20 Several of the inkjet printer cartridges that Herrold purchased on February 11 were defective. The cartridges were returned and the office supply store reduced Herrold's outstanding balance by $100.
Feb. 22 Performed consulting services for $6,000 cash.
Feb. 24 Billed clients $9,000.
Feb. 25 Paid salaries of $5,000.
Feb. 28 Paid the entire outstanding balance owed for office supplies purchased on February 11.

Required:

a. Prepare Journal entries, including explanations, for the above transactions.
b. Post each entry to the appropriate ledger accounts.
c. Prepare a trial balance dated February 28, 2021.

Q.3. Enchanted Forest, a large campground in South Carolina, adjusts its accounts monthly. Most guests of the campground pay at the time they check out, and the amounts collected are credited to Camper Revenue. The following information is available as a source for preparing the adjusting entries at December 31:

i) Enchanted Forest invests some of its excess cash in certificates of deposit (CDs) with its local bank. Accrued interest revenue on its CDs at December 31 is $400. None of the interest has yet been received. (Debit Interest Receivable).

ii) A six-month bank loan in the amount of $12,000 had been obtained on September 1. Interest is to be computed at an annual rate of 8.5 percent and is payable when the loan becomes due.

iii) Depreciation on buildings owned by the campground is based on a 25-year life. The original cost of the buildings was $600,000. The Accumulated Depreciation: Buildings account has a credit balance of $310,000 at December 31, prior to the adjusting entry process. The straight-line method of depreciation is used.

iv) Management signed an agreement to let Boy Scout Troop 538 of Lewisburg, Pennsylvania, use the campground in June of next year. The agreement specifies that the Boy Scouts will pay a daily rate of $15 per campsite, with a clause providing a minimum total charge of $1,475.

v) Salaries earned by campground employees that have not yet been paid amount to $1,250.

vi) As of December 31, Enchanted Forest has earned $2,400 of revenue from current campers who will not be billed until they check out.

vii) Several lakefront campsites are currently being leased on a long-term basis by a group of senior citizens. Six months' rent of $5,400 was collected in advance and credited to Unearned Camper Revenue on October 1 of the current year.

viii) A bus to carry campers to and from town and the airport had been rented the first week of December at a daily rate of $40. At December 31, no rental payment has been made, although the campground has had use of the bus for 25 days.

ix) Unrecorded Income Taxes Expense accrued in December amounts to $8,400. This amount will not be paid until January 15.

Required: For each of the above numbered paragraphs, prepare the necessary adjusting entry (including an explanation). If no adjusting entry is required, explain why.

Q.4. a) Golf World sold merchandise to Mulligans for $10,000, offering terms of 1/15, n/30. Mulligans paid for the merchandise within the discount period. Both companies use perpetual inventory systems.

i) Prepare journal entries in the accounting records of Golf World to account for this sale and the subsequent collection. Assume the original cost of the merchandise to Golf World had been $6,500.

ii) Prepare journal entries in the accounting records of Mulligans to account for the purchase and subsequent payment. Mulligans records purchases of merchandise at net cost.

iii) Assume that, because of a change in personnel, Mulligans failed to pay for this merchandise within the discount period. Prepare the journal entry in the accounting records of Mulligans to record payment after the discount period. (06)

b) Speed World Cycles sells high-performance motorcycles and motocross racers. One of Speed World's most popular models is the Kazomma 900 dirt bike. During the current year, Speed World purchased eight of these cycles at the following costs:

10,000 x 1/100

Purchase Date	Units Purchased	Unit Cost	Total Cost
July 1	2	$4,950	$ 9,900
July 22	3	5,000	15,000
Aug. 3	3	5,100	15,300
Total	8		$40,200

On July 28, Speed World sold four Kazomma 900 dirt bikes to the Vince Wilson racing team. The remaining four bikes remained in inventory at September 30, the end of Speed World's fiscal year. Assume that Speed World uses a perpetual inventory system.

REQUIRED:

a) Compute the cost of goods sold relating to the sale on July 28 and the ending inventory of Kazomma 900 dirt bikes at September 30, using the following cost flow assumptions:

i) Average cost　　　ii) FIFO　　　iii) LIFO

b) Show the number of units and the unit costs of each layer comprising the cost of goods sold and ending inventory.

Q.5. Garden Wizards provides gardening services to both commercial and residential customers. The company performs adjusting entries on a monthly basis, whereas closing entries are prepared annually at December 31. An adjusted trial balance dated December 31, 2021, follows.

GARDEN WIZARDS
ADJUSTED TRIAL BALANCE
DECEMBER 31, 2021

	Debits	**Credits**
Cash	$27,800	
Accounts receivable	4,300	
Unexpired insurance	8,700	
Prepaid rent	3,200	
Supplies	1,400	
Trucks	140,000	
Accumulated depreciation: trucks		$ 75,000
Equipment	28,000	
Accumulated depreciation: equipment		14,000
Accounts payable		2,200
Notes payable		38,000
Salaries payable		900
Interest payable		300
Income taxes payable		1,700
Unearned service revenue		2,000
Capital stock		18,000
Retained earnings		21,000
Dividends	3,300	
Service revenue earned		194,000
Insurance expense	1,800	
Office rent expense	28,000	
Supplies expense	5,600	
Salary expense	72,000	
Depreciation expense: trucks	16,000	
Depreciation expense: equipment	4,000	
Repair and maintenance expense	5,300	
Fuel expense	2,200	
Miscellaneous expense	2,700	
Interest expense	3,800	
Income taxes expense	9,000	
Total	$367,100	$367,100

Required: Prepare an income statement and statement of retained earnings for the year ended December 31, 2021. Also prepare the company's balance sheet dated December 31, 2021.

Q.6. a) Mathews Bus Service traded in a used bus for a new one. The original cost of the old bus was $52,000. Accumulated depreciation at the time of the trade-in amounted to $34,000. The new bus cost $65,000, but Mathews was given a trade-in allowance of $10,000.

i) What amount of cash did Mathews have to pay to acquire the new bus?

ii) Compute the gain or loss on the disposal for financial reporting purposes.

iii) Explain how the gain or loss would be reported in the company's income statement.

b) On January 2, 2022, Jansing Corporation acquired a new machine with an estimated useful life of five years. The cost of the equipment was $40,000 with a residual value of $5,000.

a. Prepare a complete depreciation table under the three depreciation methods listed below. In each case, assume that a full year of depreciation was taken in 2022.

i) Straight-line.

ii) 200 percent declining-balance.

iii) Sum of year's digit.